

Q&A — AS 5 — Net Profit/Loss for the Period, Prior Period Items & Changes in Accounting Policies

Scope reminder: AS 5 does **NOT** deal with tax on income, or with extraordinary items *arising from other Standards*. It deals with the **classification and disclosure** of items in the Statement of Profit and Loss so that P&L is prepared on a **consistent and comparable** basis. It does **not** prescribe recognition/measurement — only presentation and disclosure. Mnemonic for what comprises Net Profit/Loss: **RMPD** = **R**esults of Ordinary activities + **M**... (Ordinary + Extraordinary), with separate disclosure of **P**rior period items, **E**xceptional items, and **C**hanges in estimates/policies.

Section A — Concept-Check Questions (test the WHY)

A1. Why does AS 5 exist at all if it does not tell us how to measure income? Model answer: Two different companies (or the same company across years) could dump exceptional gains, prior-period corrections and policy-change effects anywhere in the P&L, making profits non-comparable. AS 5 forces a **standard structure** — separating ordinary results, extraordinary items, prior period items and the effect of changes in estimates/policies — so that a reader can judge **sustainable/recurring profit** versus one-off effects. It governs **presentation and disclosure**, not recognition or measurement.

A2. Distinguish "extraordinary" from "exceptional" items in one line each. Model answer: **Extraordinary items** arise from events *clearly distinct from ordinary activities*, **not expected to recur** frequently or regularly (e.g., loss from an earthquake, attachment of property by government). **Exceptional items** arise from **ordinary activities** but are of **such size, nature or incidence** that separate disclosure is needed to explain performance (e.g., a large bad-debt write-off, disposal of long-term investments, litigation settlement).

A3. Why is the distinction between "change in accounting estimate" and "change in accounting policy" so heavily examined? Model answer: Because the **treatment differs fundamentally**. A change in **estimate** is applied **prospectively** (current period, and future periods if affected) — no restatement, no prior-period adjustment. A change in **policy** requires the resulting **amount to be quantified and disclosed**, and (where material and ascertainable) the impact shown, but AS 5 does **not** require retrospective restatement of comparatives (unlike Ind AS 8). Misclassifying an estimate change as a policy change (or vice versa) changes reported profit and disclosures.

A4. If a debtor previously written off as bad is now recovered, is that a prior period item? Model answer: **No**. A prior period item is an income/expense arising from **errors or omissions** in

preparing prior-period statements. The earlier write-off was a bona fide estimate based on then-available information; the subsequent recovery is simply the outcome of a **revised estimate** and is treated in the **current period's ordinary results**, not as a prior period item.

A5. Depreciation was under-charged in an earlier year because a wrong rate was applied by mistake. Estimate change or prior period item? Model answer: **Prior period item** — it results from an **error/omission** (wrong rate applied). Contrast with a *deliberate revision* of useful life/rate based on new information, which is a **change in estimate** (prospective). The examiner's trap: the word "*depreciation*" tempts students to call every change an estimate; the deciding factor is whether it is an **error** (prior period) or a **re-assessment** (estimate).

A6. Is a change from cost model to some other basis of valuing inventory (e.g., FIFO to weighted average) a change in policy or estimate? How is it treated? Model answer: **Change in accounting policy**. It should be made only if required by statute/an accounting standard, or if it results in a **more appropriate presentation**. The **amount of the impact** is quantified and disclosed; if not ascertainable, that fact is disclosed. There is **no retrospective restatement** of prior years under AS 5.

A7. Give the AS 5 definition of "ordinary activities". Model answer: Activities undertaken by an enterprise as part of its **business** and such **related activities** in which it engages in furtherance of, incidental to, or arising from these activities. Extraordinary items are, by definition, **outside** ordinary activities.

A8. Why must extraordinary items be disclosed on the face of the P&L rather than buried in notes? Model answer: Because they are outside ordinary activities and can distort the profit figure; showing their **nature and amount separately on the face** lets the user directly assess the impact on net profit/loss for the period and strip them out to estimate recurring performance.

Section B — Graded Computational / Practical Problems

B1 (Easy) — Prior period item identification & presentation

During FY 2024-25, ABC Ltd discovered that salary of Rs 60,000 for March 2024 was omitted in FY 2023-24 and remained unpaid/unrecorded. Net profit for 2024-25 before this item is Rs 8,00,000. Show the presentation.

Solution: - The omitted salary is a **prior period item** (error/omission in prior-period statements). - It is **charged in the current P&L** but **disclosed separately** so current-year ordinary results are not distorted.

Presentation (extract):

Profit from ordinary activities (before prior period item)	8,00,000
Less: Prior period item – Salary of March 2024 omitted	(60,000)
Net Profit for the period	7,40,000

Journal entry in 2024-25:

Prior Period Item (Salary) A/c	Dr	60,000	
To Salary Payable / Bank A/c			60,000

Note: nature and amount of prior period item disclosed so its effect on current profit is perceptible.

B2 (Easy–Medium) — Change in estimate (depreciation, revised useful life)

A machine costing Rs 10,00,000 (no residual value) was being depreciated straight-line over 10 years. After 4 years, the remaining useful life is re-assessed to **4 years** (total 8 years). Compute depreciation for Year 5 and state the treatment.

Solution: - Depreciation p.a. originally = $10,00,000 / 10 = \text{Rs } 1,00,000$. - WDV at end of Year 4 = $10,00,000 - (4 \times 1,00,000) = \text{Rs } 6,00,000$. - This is a **change in accounting estimate** → applied **prospectively**; no restatement of Years 1–4. - Remaining life reassessed to 4 years → depreciation from Year 5 = $6,00,000 / 4 = \text{Rs } 1,50,000 \text{ p.a.}$ - Disclose the effect of the change if material.

B3 (Medium) — Extraordinary item presentation with tax

XYZ Ltd's profit before tax from ordinary activities is Rs 20,00,000. During the year, an earthquake destroyed uninsured plant causing a loss of Rs 5,00,000 (extraordinary). Tax rate 30%. Present the P&L extract.

Solution: Extraordinary items are shown **separately, net of nothing on the face for amount, with tax disclosed**. AS 5 requires the nature and amount of each extraordinary item to be separately disclosed on the face.

Profit before tax and extraordinary items	20,00,000	
Less: Tax @30% on ordinary profit (6,00,000)	(6,00,000)	
Profit after tax from ordinary activities	14,00,000	
Less: Extraordinary item – Loss by earthquake	5,00,000	
Less: Tax saving @30%	(1,50,000)	(3,50,000)
Net Profit for the period		10,50,000

Point: the extraordinary loss is shown **net of its tax effect (Rs 3,50,000)** and its **nature (earthquake) disclosed**, so a reader can see recurring PAT of Rs 14,00,000 separately.

B4 (Medium) — Estimate change vs prior period error (depreciation trap)

PQR Ltd charged depreciation on plant at 10% instead of the correct 15% (as per company's own consistent policy) for FY 2023-24 due to a clerical error. Plant WDV on which error occurred: Rs 40,00,000 (opening cost basis for that year Rs 40,00,000). Identify and quantify the AS 5 item for FY 2024-25.

Solution: - Correct depreciation 2023-24 = $15\% \times 40,00,000 = \text{Rs } 6,00,000$. - Depreciation actually charged = $10\% \times 40,00,000 = \text{Rs } 4,00,000$. - **Under-charge = Rs 2,00,000** due to a **clerical error** → **Prior Period Item** (not a change in estimate). - Treatment: charge Rs 2,00,000 as a **prior period expense** in FY 2024-25, disclosed separately.

Depreciation short-charged in 2023-24 (Prior Period Item) A/c	Dr	2,00,000	
To Accumulated Depreciation / Plant A/c			2,00,000

Contrast: had the company *deliberately revised* the rate from 10% to 15% on re-assessment of wear, it would be a **change in estimate** (prospective, no prior-period charge).

B5 (Exam-Hard) — Change in accounting policy: quantify and disclose

Sunrise Ltd valued inventory on **FIFO**. From FY 2024-25 it switches to **Weighted Average** because it gives a more appropriate presentation. Data: - Closing inventory 2024-25 under FIFO = Rs 25,00,000; under Weighted Average = Rs 22,00,000. - Profit for 2024-25 (computed using FIFO closing stock) = Rs 50,00,000.

Required: Treatment, revised profit, and disclosure.

Solution: - Switching valuation method = **change in accounting policy** (permissible: more appropriate presentation). - Effect: lower closing inventory by $\text{Rs } 25,00,000 - 22,00,000 = \text{Rs } 3,00,000$ → cost of goods sold **increases** by Rs 3,00,000 → profit **decreases** by Rs 3,00,000. - Revised profit for 2024-25 = $50,00,000 - 3,00,000 = \text{Rs } 47,00,000$. - **No retrospective restatement** of prior comparatives under AS 5.

Disclosure (as required by AS 5): "During the year the company changed its method of inventory valuation from FIFO to Weighted Average, as it results in a more appropriate presentation of the financial statements. Consequent to this change, the value of closing inventory and the profit for the year are **lower by Rs 3,00,000** than would have been the case under the earlier method."

B6 (Exam-Hard) — Composite problem (multiple AS 5 items in one statement)

Zenith Ltd's draft profit for FY 2024-25 is Rs 30,00,000 after considering the following: (i) Rs 1,50,000 excess provision for tax of FY 2023-24 written back. (ii) A one-time compensation of Rs 4,00,000 received on termination of a supply contract (arising from ordinary activities but exceptional in size). (iii) Loss of Rs 2,00,000 on sale of a long-term investment. (iv) Understatement of last year's sales by Rs 90,000 (invoice omitted in error).

Classify each item under AS 5 and present.

Solution — classification: - (i) Excess tax provision write-back → **Prior period item** (income) — relates to prior period, disclosed separately. - (ii) Contract termination compensation → **Exceptional item** (ordinary activity, large/unusual) — disclosed separately within ordinary results. - (iii) Loss on sale of long-term investment → **Exceptional item** (ordinary activity, but material) — separate disclosure; NOT extraordinary. - (iv) Omitted sales invoice of prior year → **Prior period item** (income), correction of error.

Presentation (extract):

Profit from ordinary activities (incl. exceptional items disclosed below)	...
of which – Exceptional income: contract compensation	4,00,000
Exceptional loss: sale of long-term investment	(2,00,000)
Add/less: Prior period items –	
Excess tax provision written back	1,50,000
Sales of earlier year omitted	90,000
Net Profit for the period	30,00,000

Note: none of these is **extraordinary** — all arise from ordinary activities or are prior-period corrections; extraordinary would require an event *outside* ordinary activities (e.g., natural disaster, expropriation).

Section C — Past-Paper-Style Full Questions (ICAI pattern)

C1. (Theory + application, ~5 marks)

"State whether the following are (a) prior period items, (b) change in accounting estimate, (c) change in accounting policy, or (d) extraordinary item, giving reasons:" 1. Actual bad debts turning out higher than the provision made last year. 2. Change in method of depreciation from WDV to SLM. 3. Loss of inventory due to a flood. 4. Charging of an expense of the previous year omitted by mistake. 5. Change of cost formula for inventory to comply with a revised Accounting Standard.

Model answer: 1. **Change in accounting estimate** — provision was a bona fide estimate; higher actual bad debts reflect revised outcome, dealt with in current ordinary results (not a prior period item). 2. **Change in accounting policy** — method of depreciation is a policy; permitted only if statute/AS requires or for more appropriate presentation; quantify and disclose the effect. (Note: under Companies Act/AS 10 framework a change in depreciation *method* is treated as a change reflecting a change in estimate of consumption, but for AS 5 classification purposes ICAI treats method change as a change in policy requiring disclosure — state per the exam's framing; the safe exam answer: change in policy, disclose effect.) 3. **Extraordinary item** — flood loss is outside ordinary activities, not expected to recur; disclose nature and amount on the face of P&L. 4. **Prior**

period item — omission/error in preparing prior-period statements; charge in current P&L with separate disclosure. 5. **Change in accounting policy required by an Accounting Standard** — quantify and disclose the impact; if not the case that it is required, it still qualifies as a policy change.

C2. (Practical, ~5–6 marks)

Alpha Ltd's net profit for FY 2024-25 is Rs 12,00,000, arrived at after: (a) Writing off Rs 1,00,000 as prior period expense (repairs of 2023-24 omitted). (b) Charging depreciation Rs 3,00,000, which includes Rs 50,000 additional depreciation because the useful life of a machine was reduced this year on re-assessment. Show how each is treated under AS 5 and the recurring profit for comparison.

Model answer: - (a) Prior period repairs Rs 1,00,000 → **prior period item**; already charged but must be **disclosed separately**. It is not a recurring cost of 2024-25 operations. - (b) Additional depreciation Rs 50,000 due to reduced useful life → **change in accounting estimate**, applied **prospectively**. It is part of **ordinary depreciation** of the current year; **no separate prior-period treatment**, but the effect (Rs 50,000) is **disclosed** if material. - Recurring (ordinary, non-prior-period) profit for comparison = 12,00,000 + 1,00,000 (add back prior period item) = **Rs 13,00,000**. The estimate change stays within ordinary results (not added back).

C3. (Full statement + disclosure, ~8 marks)

Omega Ltd provides: - Profit before tax from ordinary activities (before items below): Rs 40,00,000 - Extraordinary item: uninsured loss of stock by fire Rs 6,00,000 - Exceptional item: profit on sale of factory land Rs 10,00,000 (ordinary activity, unusual size) - Prior period item: interest income of 2023-24 omitted Rs 80,000 - Tax rate: 30% (applies to ordinary profit, exceptional item and extraordinary item alike)

Prepare the lower portion of the Statement of Profit and Loss and give disclosures.

Model answer:

Profit before tax and exceptional items (ordinary)	40,00,000
Add: Exceptional item – profit on sale of land	10,00,000
Add: Prior period item – interest income of 2023-24	80,000
Profit before tax and extraordinary items	50,80,000
Less: Current tax @30%	(15,24,000)
Profit after tax before extraordinary items	35,56,000
Less: Extraordinary item – loss of stock by fire	6,00,000
Less: Tax saving @30%	(1,80,000)
Net Profit for the period	31,36,000

Disclosures: 1. **Exceptional item** (Rs 10,00,000 profit on land) — nature and amount disclosed; part of ordinary activities but shown separately due to size. 2. **Prior period item** (Rs 80,000 interest income) — nature and amount disclosed separately so current-year results are perceptible. 3. **Extraordinary**

item (Rs 6,00,000 fire loss) — nature and amount disclosed on the **face** of the statement, shown net of tax effect.

Section D — MCQs / Case Scenarios (30% MCQ pattern)

D1. AS 5 deals primarily with: (a) Recognition and measurement of income (b) Classification and disclosure of items in the P&L (c) Taxes on income (d) Valuation of inventory. **Ans: (b)** — AS 5 governs presentation/disclosure of net profit or loss, not recognition/measurement.

D2. A change in accounting estimate is applied: (a) Retrospectively with restatement (b) Prospectively (c) By a prior period adjustment (d) Only if approved by shareholders. **Ans: (b)** — Estimate changes affect the current (and, if relevant, future) periods only; no restatement.

D3. Loss of assets due to an earthquake is a/an: (a) Exceptional item (b) Prior period item (c) Extraordinary item (d) Change in estimate. **Ans: (c)** — An event outside ordinary activities, not expected to recur = extraordinary.

D4. Recovery of a debt earlier written off as bad is treated as: (a) Prior period income (b) Extraordinary income (c) Income of the current period (ordinary) (d) Change in accounting policy. **Ans: (c)** — It reflects a revised estimate outcome, not an error correction, so it is current-period ordinary income.

D5. Under AS 5, a change in accounting policy requires: (a) Retrospective restatement of comparatives (b) The impact to be quantified and disclosed (or the fact that it is not ascertainable) (c) No disclosure (d) Approval of the Central Government. **Ans: (b)** — AS 5 requires disclosure of the effect; it does **not** mandate retrospective restatement (unlike Ind AS 8).

D6. A large bad-debt write-off arising from ordinary business, disclosed separately due to its size, is a/an: (a) Extraordinary item (b) Exceptional item (c) Prior period item (d) Change in policy. **Ans: (b)** — Arises from ordinary activities but its size/nature warrants separate disclosure = exceptional.

D7. Salary of the previous year omitted by error and recorded this year is: (a) Extraordinary item (b) Exceptional item (c) Prior period item (d) Change in estimate. **Ans: (c)** — Error/omission in prior-period statements = prior period item.

D8. Reducing the estimated useful life of an asset and charging higher depreciation is: (a) Prior period item (b) Change in accounting policy (c) Change in accounting estimate (d) Extraordinary item. **Ans: (c)** — Re-assessment based on new information = estimate change, applied prospectively.

D9. Which statement is correct? (a) Extraordinary items are shown only in notes (b) Extraordinary items are disclosed on the face of the P&L with nature and amount (c) Prior period items must be netted against reserves (d) Exceptional items are always outside ordinary activities. **Ans: (b)** — Nature and amount of extraordinary items are disclosed on the face of the statement.

D10. A change in accounting policy should be made when: (a) Management simply prefers a different figure (b) It is required by statute or an Accounting Standard, or results in more appropriate

presentation (c) Profit needs smoothing (d) Never. **Ans: (b)** — These are the only permissible grounds under AS 5.

D11. Case scenario: Bright Ltd changed its inventory valuation from weighted average to FIFO, increasing closing stock (and profit) by Rs 2,00,000, and also discovered a Rs 50,000 sales invoice of the previous year omitted in error. Which is TRUE? (a) Both are prior period items (b) Policy change: disclose Rs 2,00,000 effect; omitted sale: prior period item Rs 50,000 (c) Both are extraordinary (d) Neither needs disclosure. **Ans: (b)** — Valuation-method switch = policy change (quantify/disclose the Rs 2,00,000 effect); omitted invoice = prior period item.

D12. Under AS 5, taxes on income are: (a) Covered fully by AS 5 (b) Outside the scope of AS 5 (dealt with by AS 22) (c) Treated as extraordinary (d) Treated as prior period items. **Ans: (b)** — AS 5 expressly excludes tax on income; it is governed by AS 22.

One-page trap recap

- "Depreciation" word ≠ automatic estimate change — decide **error (prior period)** vs **re-assessment (estimate)**.
- Bad-debt recovery / higher-than-provided bad debts = **estimate**, current period — NOT prior period.
- Policy change under AS 5 → **disclose effect, no retrospective restatement** (that's Ind AS 8).
- Extraordinary = **outside** ordinary activities, non-recurring; Exceptional = **within** ordinary activities but large/unusual.
- Prior period items and extraordinary items are charged/credited to **current P&L with separate disclosure**, never adjusted directly against reserves.